ALO37: Investing in the New World Order ft. Charles-Henry Monchau

Podcast: Top Traders Unplugged

AI Executive Summary

1. Core Thesis The episode argues that global markets are transitioning into a new macroeconomic regime defined by geopolitical rivalry between the US and China over dominance in AI, defense, and energy infrastructure ("reshoring"). This shift creates an inflationary environment favoring nominal growth, which benefits equities, private equity, and real assets while diminishing sovereign bond utility due to rising fiscal debt risks. The market is currently valuing strong earnings expansion rather than speculative prices; however, investors must remain vigilant regarding capital allocation cycles (overspending in hyperscalers) and the volatility inherent in inflationary commodities like gold. Strategic diversification through smaller caps, cross-border AI beneficiaries, and alternative assets is recommended to navigate these structural changes.

2. Key Arguments & Data

3. **Macroeconomic Regime Shift:** The move from a "cheap goods" era (multilateralism) to one driven by economic nationalism and reshoring. The US and China are prioritizing domestic manufacturing in AI, Defense, and Energy (low A-to-C power prices).
4. **AI Inflationary vs. Disinflationary Impact:** AI is currently inflationary due to high demand for memory chips and semiconductors pushing up iPhone/H3C costs. Long-term, it may be disinflationary via efficiency gains, but the cycle could face a correction similar to Dotcom/Fiber optics overspending (e.g., NVIDIA hyperscalers potentially facing future losses).
5. **Market Bubble Dynamics:** The market is currently in an "earnings bubble" rather than a price bubble. NVDA earnings grow faster than its stock price; P/E for NASDAQ 100 remains below the 10-year average. A bull market persists as long as earnings growth exceeds ~20% across regions (US, Japan, Asia).
6. **Bonds & Sovereign Risk:** Allocation to sovereign bonds is being reduced aggressively due to rising correlation with equities and

government over-leverage ("fiscal dominance"). Coupons are effectively eaten by inflation; real returns on risky debt remain low.

7. **Gold Volatility Drawdowns:** Gold saw a ~30% drawdown not solely from debasement fears but also momentum fade + emerging markets selling reserves (net oil importers needing dollars). It acts as both a store of value and potential fund source when tapped for liquidity needs, unlike traditional inflation hedges.
8. **US Treasury & Fed:** The US balance sheet increased by over $200 billion to manage the yield curve ("Fed Balance Sheet management"). Market expectations shifted from 2 cuts to rates hike due to oil prices/inflation concerns. Chairman Kevin Warsh is viewed as managing credibility with independence while facing "fiscal dominance" pressure.

9. **China & Europe Contrast:** China remains a tech leader (EVs, Robotics) but struggles with domestic consumption and real estate bubbles; government intervenes in equity markets to boost innovation exposure. The US/Chinas are subsidizing investment aggressively compared to European fiscal responsibility/high regulation which stifles growth.

10. Actionable Takeaways

11. **Asset Allocation:** Reduce sovereign bond allocation (higher correlation/risk) and shift toward equities, hedge funds, high-quality small/mid caps in emerging markets/Europe, and non-equity diversifiers like Gold/Commodities/Uranium/Copper. Avoid hyperscalers that are over-investing in capex unless they benefit from cost reduction later.
12. **Sectors:** Invest in AI beneficiaries across sectors (Healthcare, Financials) for productivity gains; monitor companies disrupting tech industries ("losers") or losing competitiveness to automation. Consider "HALO effects" stocks: heavy assets/low obsolescence immune to disruption.
13. **Macro Risk Monitor:** Watch earnings growth velocity and capex spend cycles closely; if hyperscaler spending leads to supply gluts,

returns may lag while beneficiaries of lower infrastructure costs outperform.

14. **Career Advice:** Invest in your career by aligning with passion (something you love) combined with competence rather than just the potential for money. View investing as lifelong learning requiring adaptability to changing regimes.

Full Transcript

And these reports were, I think, high openings. And they should be taken with a lot of importance by the European leaders that they need to be a wake of call for kids, for the next generation. Something needs to happen, because we are in a dangerous situation at this stage. Welcome to Top Traders Unplugged. In markets, success doesn't come from predicting what happens next. It comes from being prepared for what you can't predict. In each episode, we go deep with some of the world's most thoughtful minds in investing, economics, and beyond to understand how they think, how they prepare, and how they decide and the experiences that shaped how they see the world. No noise, no shortcuts, just real conversations to help you think better and invest with confidence.

Welcome back to top readers on bloat, my name is Alan Dunn and today I'm delighted to be joined by Charles Henry Monchow. Charles is CIO of CIS Private Bank in Geneva. Charles has had a long career in the markets before being at CIS Private Bank. He was at Rothschild, EFG, Deutsche Bank, Lombard-Odea and BNP Paribas. So an extensive career, Charles. Great to see you. Great to have you on. How are you doing? Great. Thank you so much for the invite, Alan. Looking forward for the discussion. Absolutely yeah no we've got to get into but we do always like to start by getting a sense of how people got interested and started in markets and mentioned. You've been around quite a while and worked in a lot of them and established in big houses how did you get interested in markets and investing in the first place. I think it was a pure coincidence internship bnp paribas you know exactly what i wanted to do. My only passion at the time was also writing something which is very popular in islands.

And so I was, let's say, just doing internship for the sake of it. And then I came across investment department and I told myself, well, this is what I want to do. You know, it's great to, let's say, have a job where you need to be interested into what is going on in the world. We'd be on the job particular side, macro side, and also try to make money out of it. And I like the, I think the... The fact that you can multitask you need not only to be, let's say a proficient in terms of financial research understanding the

markets and macro, but you also need to articulate that into something which is digestible by clients. You also need to manage people and be an asset for the firm you work with. So I think that's quite a mix.

And as I always say to my kids, you know, it's first and foremost, you need to do something you love in life because you spend a lot of hours at your job. And to me, I think investing is a kind of hobby. So I'm lucky enough to have my job basically being my hobby. That's the way I put it usually. Good stuff. Yeah, that's a great idea. I know you've just published your H2 outlook and within that you talk about various structural themes. I think that's a good jumping off point. I mean, it is certainly one thing that we've been talking about a lot in the podcast is that we're in a new macroeconomic regime and I know you touch on this yourself. They kind of changed geopolitical and economic order.

I mean, in your words, how would you describe that change in the order that we're currently living in versus maybe where we were five or 10 years ago? Yeah. So I think the question is not to say if we live in, let's say, a world which is better or worse is when it comes to investing, you need to adapt to the new geopolitical landscape. And definitely, we call it, let's say, the East-West divides. We think that there are two superpowers, which are US and China. They are in a kind of economic war, and they want to dominate on three very, let's say, key points. The first one is obviously AI. They know that AI is not only important in terms of technological and economic...

advantage but also for defense which is the order, let's say obsession will have is that in this world which is much more uncertain. You need to also lead on defense and then when you want to lead on AI and you want to lead on defense you also need to lead on electric power. And having let's say getting access to cheap sources of energy, cheap A to C prices. And also ample capacity in terms of electricity is key when you want to increase your output and your dominance on AI and defense. So I think these three themes are really the major priorities of these two superpowers, but not only if you get Japan's, the new Prime Minister has that kind of agenda also in mind. Europe needs to catch up.

And if you think about these three things from a global investment perspective, it also means that we live in a world which is putting a lot of emphasis on what is called reshoring. So making sure that because the world is uncertain is that you will manufacture your chips, you manufacture your weapons. You have your manufacturing capabilities on your own soil or close to your soil, which is a very big difference compared to the last decade where with multilateralism, the key was to just, you know, make decrease your costs. And now we will be showing this is also something which is inflationary. That's point number one that the other, let's say, development we see is something which is called economic nationalism.

So who would have believed that the US would take some stake into some companies like Intel, for instance, but not only they want to take some stakes in SpaceX, for instance. So that's something we're used to with China, but not used to with the US. They're also investing into rare earth. into commodities. So all of these, you know, as they are, let's say some big things, but they are very easily implementable into a portfolio. If you follow the priorities of these superpowers, you're actually probably doing quite well. So this is the kind of landscape, but it also leads to some sub themes which are very important from an asset allocation perspective. One of them is, for instance, the comeback of nominal growth.

Everyone is looking at inflation as something which is negative. But actually, when you think about the comeback of inflation, compared to the last decade, that means that nominal gross is higher than last decade. And when you think about high nominal gross, high nominal GDP gross is good for equity markets, is good for real assets, is good for private equity, but is less good for bonds. So when you think about strategic asset allocation, these new regime needs also to be to impact your strategic asset allocation. So there are some big macro things, also some micro themes that we can talk about. But these big macro themes, they are already quite important when it comes to strategic asset allocation. Yeah. Now, I know in your report you also talk about AI and AI.

topic super cycle and I mean I fully agree with all you're saying it's interesting how like if we look back over the course of the year to date. You might remember like I think was February we had the city report and it was

always focused on AI and it was going to be really disinflationary and then suddenly we had the war in Iran and everybody can forget about that and you know focus back on supply shocks and. you know, higher inflation and those things. So you've got that kind of, I guess, contrast between those two structural themes. So I mean, on the AI theme, obviously, it's currently pushing up. It's an inflationary force, I guess, on the demand side. Do you see it over time been more inflationary or disinflationary? Or how do you think about that its impact from a markets and asset allocation perspective? I think first we need to be very humble with any assumption.

At the time we're talking, there is a headline on the Wall Street Journal saying, big firms are hiring again. You were mentioning the Citrate Research Report, which was pointing out, let's say, a massive destruction of jobs. Actually, we're not seeing this. And yes, the job market, for instance, the US has been going through a soft patch. But latest numbers shows that, you know, actually the job market is healing and there are still some, let's say, job creation. So, you know, one of the assumptions was that it will totally destroy many jobs, including, for instance, for the young people, it's not happening. Actually, the unemployment rate for 18 to 24 years old in the US is going down. So coming back to your question about is it inflationary or disinflationary, It depends what time horizon we're talking about. Usually technology is this inflationary. At this stage, it's very interesting to look at, if you look at the CPI baskets, actually the technological components is currently having a higher contribution to inflation than other components, which is something new. We have been used to your TV is going to get cheaper over time. Your laptop is going to get cheaper. Currently, there is so much demands for AI components, for semiconductors, for memory chips that it has a inflationary impact on prices of many goods. The iPhone is prices is going up because memory chips are going up.

H3C prices are going up because there is high demand for computing. So for the time being, AI is inflationary. Is it going to be deflationary over time or disinflationary? Probably because if we look at this story, technology has created pro-TV gains and usually leads to some, let's say, disinflationary impact. But for the timing, it's very difficult to say what... how much it will be disinflationary. I think that not only we need to talk about inflation

impact, but also about the gross impact. I'm on the optimistic side. I tend to believe that AI is going to create massive opportunities down the road, lead to new businesses, new applications, new type of jobs. And this is why we call it a super cycle with some positive effects on gross.

and on the stock market, because we haven't seen, let's say, all of the positive consequences at this stage. Is it going to, at some point, create some hiccups, some volatility in the market, probably? Because all of the, let's say, new cycle creates exaggeration, leads to greed, and greed always, you know, hand up into tears. But we think that there is still some more upside to go on that side. Yeah. And is that based on you think that we're still relatively early in this capex super cycle? Do you think this can go on for a number of years? Or do you think... I mean, we're now seeing with the reaction in some of the earnings that if Google or Meta report even greater capex that the market seems to be...

punishing those stocks at times. Do you think we'll continue to see that very strong level of fabrics? Yeah, that was one of four phases at the start of the year saying the market is starting to get nervous about all this spending. Yeah. The history always repeats itself is that when you think about gross companies, when they want to win an economic war, they all tend to overspend. And at the end of the day, there are only a few winners. And usually the winners are not necessarily with those who spend. The latest example is the dotcom bubble. When the dotcom bubble, if you remember these names, Jenaipa Networks, No Hotel, Alcatel, and others, they were obsessed by fiber optics. So they all massively invested into fiber optics.

They invested so much into fiber optics that they created the supply gluts with a massive deflation impact with fiber optics prices collapsing by 90%. And those who over-invested, they got massively punished by the market. And the winners were not those who were over-invested. The winners were those who benefited from the fact that fiber optics suddenly got much cheaper. So who were they? the internet companies, the new stars, the new Mac 7, they benefited from that. But now that these Mac 7 are overspending into AI infrastructure, they might be, at least for some of them, the future losers. The future winners will be those who are going to benefit from all of these AI infrastructure spending. So we tend to believe that the cycle will

repeat itself. And this is why we urge our clients at the start of the year to become much more selective when it comes to investing into the hyperscalers, and to look also at the beneficiaries of AI. And by the way, the good news is that these beneficiaries, they are not necessarily just in technology, they are not necessarily just in the US. And this is, by the way, translating already in some numbers, because if you look at the market currently, the market is broadening in the other events.

Small caps are performing large caps. Some sectors like healthcare and financials where big winners from AI productivity gains are doing very well. And also international markets are starting to do pretty well as well compared to the U.S. So I think that's the good part of AI stories that it's creating, let's say, more winners and this is helping the market to broaden, which is a good news. You know, it's interesting. I mean, I was looking at that just recently. I just say, healthcare and financials are both leading at the moment, which is an unusual combination, I guess. Healthcare is more defensive and financials tend to be more cyclical. And obviously, we're in an environment where rates are going up. But so you think that's AI driving that and that these sectors are early adapters, is that furtously? Not just AI, but it's helping.

I think the thing about, let's say, applications of AI into med tech, into also biotech, you can shorten the testing cycle, the testing time of some new drugs on the pharmacies. On financials, you know, look at a company like JP Morgan, which is investing a billion dollars a year into AI. They are multiplying the number of AI agents, you know, and so creating some huge, positive gains thanks to AI, and this is helping their margins. So they are not just benefiting from this, it's that I think that the M&A cycle is picking up, training is picking up, West Management is doing well, their interest rates and environment is also helping, but AI is definitely also helping the margins. If you look at the net margins, or the S&P 500 or other indices, it keeps moving up. We tend to believe that some of the, let's say, the quality gains from AI are already transcending into this. That being said, technology is also benefiting from this. I think if you look at cloud computing growth, cloud computing is one of the, let's say, early beneficiary of AI spending.

it keeps moving higher. It's re-accelerating. When you look at these monsters like Alphabet or Amazon, a cloud business is growing at, let's say, the rates of what you can see with startup, although they are monsters. So you can see that, again, this AI super cycle is really, let's say, spreading out in terms of telewins for stocks. I mean, it's interesting because you're talking about the previous instances, obviously the dot com boom and bubble and burst. And then as you say with the railroads, et cetera, that like history would say every time you've had this, the market's got exuberant and we've had a correction. But so the question people are grappling is like, where are we? I mean, listening to you, it seems like you think it's broadening that maybe, you know, the market then looks back to the past and keeps that in its mind somewhat, I guess.

Do you think that, and I think you're saying, well, the earnings are strong. Some people might argue we're maybe in an earnings bubble as more of a price bubble this time. I mean, putting that all together, I mean, I'm sure you're trying to ask you a lot. I mean, are we in a bubble? Are you worried? Should we be more defensive? Or do you think this has got a lot longer to play out? I think you hit the nail with the earnings bubbles, let's say narrative. I think the big difference with the dotcom bubble is that dot-com bubble was a price bubble. Earnings were not there. There were many dot-com IPOs coming with companies with no revenues. This time, the earnings of NVIDIA are growing faster than the stock price of NVIDIA. Actually, these mega-cap-tech stocks are cheaper now than they were at the start of the year.

We are trading at, let's say, the P of the NASDAQ 100 is, let's say, below the 10-year average. So it doesn't look like a price bubble. If you look at free cash flow, price to free cash flow, that's another story. Because the thing is that for these earnings to grow, there is a lot of spending coming in. And this makes, let's say, the free cash flow pretty bad. And here, the price to free cash flow, that's another story. But I think that's the key is that we are on the earnings bubble. And the market will start to really freak out the day when earnings growth will start to decelerate. We don't need to wait for earnings recession. The second derivative will be enough. If we see some deceleration of earnings growth, the market will probably start to become much more nervous. So as long as we have this earnings growth dynamic

there, and by the way, their earnings growth is being revised upward brutally in all regions, not just the US, but Japan, emerging markets, Asia, and Europe. Well, it's very difficult to call the hands of these bull markets as long as your earnings growing more than 20% in the US and also in other regions.

Yeah, interesting. I mean, you talked on that kind of the capital requirements that this all requires. And obviously, and you say, free cash flow at the hyperscalers has disappeared. We went from a period where we had a lot of buybacks, and now they are raising capital debt issuance, et cetera. And we're seeing that, I guess, in the global fixed income markets where yields are higher now, the savings investment balance has shifted. I mean, how do you see the impact of that? Is that something that the markets can absorb, or is this in the credit market spread still seem very tight? Is it a source of concern that this competition for capital we're seeing now? You're right, Alan. Your last point is very important. It only depends the scale you're using. If you take, let's say, a chart with the CES or the hyperscalers, it looks parabolic. Well, actually, if you look at the scale, is still very manageable because most of them, they trade with the same CDS than other investment grades. They are treated as investment grade by the market. Only some of them like Oracle or Co-Wave are getting closer to the CDS of IELTS. So, you know, as long as they are not blowing out in terms of squared, it's okay. The market obviously wants to get remunerated for the risk.

And this is why, you know, you see a bit of spreads whining on the credit side of these hyperscarers, but it remains manageable. They are still able to raise equity. They are still able to raise capital. My only concern is that for the markets, we have shifted from a context where there was negative net equity issues and during years, there was no IPO. to his very little new equity issuance. And these hyperscars, they had so much free cash flows and little capex requirements. So they were buying back their shares. So the number of stocks available for investors was actually going down. So strong demand for stocks, lower supply. So the price of the market was going up. Now we are shifting into a new regime where They don't have money anymore to buy back stocks because they need to invest into CAPEX. They still need to issue new stocks, new shares, and then we start

to see the early innings of the, let's say, the usual ends of a bubble when you start to see a lot of IPOs coming. So the time being, it's spectacular, but it's not outrageous. SpaceX, no Unforpic will come.

Open AI will come, but the real issue is when these waves of IPOs will start to accelerate. And then when you start to have the crowding out effects of too much supply of stocks coming, maybe at a time when the market will start to, let's say, become more demanding in terms of, let's say, the price they pay for stocks, it will also need to be put into the context of potentially higher yields. What do you do as an investor if you can get four or five percent risk-free? And you see a market which is starting to become more expensive, you know, maybe you don't think that's the kind of let's say regime where Things will stop to become a bit more difficult for investors. I don't think we are there yet But you can see that you know things are moving and it's normal. You know, that's a cycle, you know, every cycle looks the same Yeah. Well, as you say, yields are moving up around the world and obviously on the sovereign debt side as well. And another one of your themes is the kind of rising sovereign debt and fiscal dominance. And I mean, you know, as you say, we talked about that world where there was a lot of capital around and yields were negative. And now we're in a world where capital is more scarce. So from a kind of a...

a national allocation perspective, if I guess you mentioned bonds being less attractive in a higher nominal growth environment, but at the same time yields are higher. How do you kind of think about that from a national allocation when you can't, you know, bonds in theory are investable, but maybe they're less attractive from a diversifying perspective? Yeah, so we made, you know, you summarize the two key points is that there's higher nominal growth and also higher data GDP. So higher nominal growth means that the coupon is being eaten partly by inflation. It's not great in terms of rewards. And then in terms of risk, every bubble and with leverage, with over-leverage. This time, the over-leverage is not for the consumer, is still not for the corporates, is with governments. So this is where we are.

kind of nervous is also with all of the leverage by government. So for these two reasons, so not great rewards on a real basis for these no for these

government bonds plus the risk of over leverage. We decided a few years ago to decrease quite aggressively the allocation to sovereign bonds into our multi asset portfolios. What we did is that And one of the reasons also is that the correlation between bonds and equities have been going up. So when you have an asset, which is bonds, which has a higher risk and higher correlation with equities, that means that within, let's say, a 60-40 portfolio, the high value has decreased. So if you want to maintain the same kind of return to risk ratio, you need to decrease your asset allocation to sovereign bonds.

and then you increase your allocation to equities, and you find new diversifiers. Who are the new diversifiers? Hedge funds, investment-grade bonds, we prefer investment-grade bonds to Sorrent bonds, and also gold and commodities. So this is how we shifted our strategies as an allocation. We still have some Sorrent bonds, but we find them, let's say, much less useful than before. Makes sense. I mean, as you mentioned, it is probably a good time to talk about it. Gold has obviously been very interesting, had a huge run-up last year into January, and now we've seen a big, you know, big drawdown, about a 30% drawdown or so. It's kind of bobbing along about 4,000. We're recording at the end of July. I mean, it's interesting because people often think about gold as a safe haven asset, as a stable asset. But, you know, in reality, it's quite volatile.

probably more volatile than equity indices. When you're positioning gold for clients, do you see there's a debasement rate? Is it store value or just a diversifier? Or how do you position it so people can withstand that kind of volatility? Yeah, the three of them. I think these three features are correct. Over time, you mentioned before this theme about, let's say, the fiscal dominance and rising some of that. Most of the, let's say, G7 countries, they have no other choice than, let's say, kind of debasing their money. So if you want to protect yourself against money debasements, either you spend today, or you invest into risk assets, or you invest into store values, and gold is a store value. And if you look over time, the performance of gold against any fiat currency, including the Suisse, have been very strong. And we think that this will continue. But it doesn't mean that gold is not volatile. The perfect assets, which has high expected return, being decorrelated and being

low in volatility, does not exist. Yeah, it existed at some point, it was called Madoff. But we knew afterwards that indeed it was impossible.

So gold is indeed volatile. I think one of the reasons also for the pullback is is two-fold one there was a lot of speculation at the end of last year So that means that some retail investors momentum players entered the trade on a leverage basis and When they know the momentum started to fade they had to get out and this kind of let's say nurtured the let's say the the pullback to draw down. And then the other reason is that gold has become since the invasion of Ukraine by Russia. Many emerging market countries when they saw that Russia saw their US Treasury is being confiscated. And also with all of the, let's say, kind of reservations, they have reservations they have, you know, with US geopolitics, and also the situation of the dollar, many emerging markets decided to shift some of their reserve from US Treasury to gold. So gold is effectively their largest reserve assets. And then these emerging market countries, when they suddenly sow oil picking up after the once the Iranian war started, many of these emerging markets, they are net oil importers. So they had to find some dollars and when you need to find some dollars you sell your reserves. And I think this participated also to the drawdown of gold is that the market knew that some emerging markets were at least slowing down their purchases of gold if not even selling some gold because they had to find some money somewhere.

So this is, let's say, the pitfall of being a reserve asset is that your reserve assets, when you need to tap into your reserve assets, you become a source of funds. And this is what happened with gold. I mean, the other thing that just kind of changed or seemed to disappear was the whole debasement theme. You know, obviously, we heard a lot about it. There was a lot of... As you say, the fiscal arithmetic looks very negative. At the same time, we had talk of, you know, maybe a Fed independence being under a threat and, you know, the concern, maybe somebody like Kevin Haslund might come in who would be very close to the administration. With Warsh being appointed, that seems to have contributed to that a little bit of comfort coming in about the Fed. Obviously, we had one press conference. We're just recording, say, with the Fed kicking off.

What do you think about Kevin Warsh? What do you expect? Obviously, he's changed the communication style. What else do you expect? What do you think the Warsh Fed is going to look like? Every year, we write a report called the 10 surprises of the year. And usually, we write it in November of the previous year. And one of our 10 surprises, well... One of them was U.S. Invade Venezuela, so I think it happens. We didn't find the Iran War surprise, this one we missed. But another one that was part of the surprise was, at the time, it was Knox, let's say, the favorite. The favorite was another Kevin. But the surprise we wrote about the Fed was Kevin Warsh is picked as the new Fed share and the markets.

Love him. Why? Because the markets were prepared so much for a Fed share, who will be just, let's say, a White House, basically, speaker. The market is probably surprised by his first speeches, that he wants to tackle inflation, that he seems, let's say, more OK-ish than many thought at some point. And I think that he's very smart in the way that he knows that the Fed cannot lose credibility. So I think he needs to show that the Fed is indeed independent. He's reminding also the markets that the Fed, the FOMC is a committee. The chair is here to manage a committee and that this committee for the time being, it is not a majority. And he needs also to build his own credibility with the committee. So I think the markets now think that there is someone at the top of the feds who will not let inflation run too hot. And this is why I think the shift in fed rates expectations has been pretty spectacular here at the start of the year.

the market was expecting two red cuts and now the market expect potentially two red heights. So that's one percent shift in a matter of months, partly explained by the fact that oil is picking up, but also validated by the fact that the Fed share is not the dove that many felt. That being said, the fiscal dominance theme will stay. It will have to cope with the fact that There is just too much debt in the US and that's all of these debt being rolled out Cannot be rolled out at the interest rate, which is too high So he would have to he would have to find ways that's There is no choice. No other choice for him. And I mean do you i think we will see that kind of more i mean he's talk tough he talked about price stability he's you know the market has interpreted him has been a bit more hawkish but at the same time obviously you know we have midterms coming into view in in

november do you think we can see higher rates and that can be managed given everything that kind of came before in terms of pressure for lower rates.

Well, there are many variables in the in the same time just not just the midterms is that Where will be the oil prices? No, we'll all price will stay too high too long. I think the club market is we just saw you know the unemployment claims are 40 yellow So if we don't say see which pick up is okay But if we see if we see wages starting to pick up again, that will be an issue. So I think they will It's not just the midterm is that you will have to take into account the geopolitical context but you know there is a wall of maturity coming due and they need to find ways you know to manage that so I think that they don't just have let's say the rates tool we have seen the treasury doing a lot of let's say maintenance on the curve The balance sheet has been increasing by more than 200 billion since the start of the year. We can see also that they start to tweak the issuance more the front-hands. And then when the issuance with the front-hands, they are buying the long-hands. So they are trying to cap, let's say, the rise of bond yields, which is not easy because again, there is all prices going up and feeding through all the commodities and those good prices.

So as you say, there's rising issuance to treasury have been taking more actions to manage the various maturities. We've seen that as a feature for a period of time that there's been some suggestion. We might see even a Fed treasury accord. What are your thoughts on that? We can see first that the Fed balance sheets is being managed. There is at least some maintenance with the Fed balancing as having been increased by. more than 200 billion dollars in the start of the year. It sounds a bit crazy when you have inflation picking up, the spreads being all-time tight, and the market all-time high, but the Fed balance sheet is still, let's say, being increased. And one of the reasons for that is that they need to manage indeed the treasury markets. And I think that the job has been pretty decent because despite the fact that we have all prices at elevated level and an economy which is doing reasonably well, The tenure is still nicely below 5%. So that's OK. But they definitely will have to face some key issues with all of these rollout coming. There is a wall of maturity coming. And they need to keep the costs as low

as possible. We are in a regime where the interest expense bill in the US is no larger than the defense budget.

So the cost of money is becoming an issue. But they have some tools. They have some tools with the Fed balance sheet, the Treasury departments, also something which is called stablecoins. Stablecoins is cryptocurrency which is pegged to a fiat currency and 99% of them are pegged to the dollar. Each time you buy a stablecoin, the stablecoin invests into U.S. Treasury bills. So that's one way for them, if stable coins start to be used worldwide to find a new source of buyers for the Treasury. So they need to have a plan. They seem to have a long-term plan to keep, let's say, their bills being covered by buyers of your Treasury, but it's becoming very difficult to manage. And at some point, the market might ask, For let's say a more reward to buy this debt. I mean just shifting gears a little bit. I mean at the start you talked about the kind of the east west divide and we've talked a lot more probably on the western side, but obviously China has been going through its own transition. It had its property boom and bust and now it's obviously investing heavily in AI and we've seen that its own.

chip, domestic chip players, you know, posting massive gains yesterday. I mean, China is still going through this policy of industrial-led growth, trying to export, you know, EVs, etc. Get the pushback in certain parts of the world. I mean, how do you see the Chinese economic outlook evolving? And how does that impact your asset allocation? Well, China on tech, on innovation, is obviously the number one, number two player. You mentioned automobiles, you know they are, we can see in electric vehicles that they're also starting to eat the lunch of the Europeans with BYD, for instance, saying massive share increase, including in Europe, and really doing well on a worldwide basis on robotics. they are definitely they seem to be out of the crowds and when it comes to AI there is currently this tug-of-war between the let's say the US way which is more let's say close system and then the open-weight ecosystem of China AI so I think they are they are doing really well on that side there is they are still in transition when it comes to economic growth they want to be more domestic consumption oriented and this is not being achieved you know from let's say in today is going to take some time you mentioned the real estate bubble it seems it's still something which is probably making the let's say

the shift into domestic consumption more difficult so we know from history that these real estate bubble when they burst they have long lasting effect and this is why also they start to focus again on the stock market. A few years ago, there were some anti-capitalistic measures being taken by government, but they understand that having a strong local equity market is also good for the consumer. They probably learned the lesson from the US. And we saw last week, by the way, that they started to intervene to support their own equity market, they want a strong equity market because they know that ultimately this will benefit also the consumer and also give access to capital to all of these companies which start to expand in terms of innovation and which are competing on the worldwide basis. So we think that there is a bright future for China.

including on innovation, we have some allocation to Chinese tech newcomers. But we know that China is quite volatile and that is not because you have a large share of GDP, that you have a large share of the world's market cap. So it remains a smaller location into accounts, but we want to have some exposure because there are very promising companies over there. I mean, with something like that, obviously, when you're looking at big thematic ideas like Chinese chips or Chinese innovation, et cetera, I mean, how do you assess the structural trends, which seems obvious versus say, evaluation considerations, say, in that idea and some of the other big ideas that you have in your report? Well, there is one thing we didn't touch base on is that When it comes to things or asset allocation, you remember in the previous, let's say the old way, it was all about, okay, how much I allocate to US, to Europe, to emerging markets. Now, at the time we are speaking, the weight of technology in the MSCA emerging markets is larger than US. That means that before you always say, okay, I have exposure to technology through my US stocks. I want to create diversifications. So why not having MLG markets? Because they are more sensitive to financials, to, let's say, a cyclical value, resources, you know, sectors like this. This is not the case anymore. And we can see this, you know, how it is developing now is that when you have memory chips tanking in Korea in the morning, in the afternoon, NASDAQ, there are some ripple effects. So we can see that correlation between markets is starting to increase because of tech. So when you want to have exposure to various themes, you need not only to think in terms of countries, but also into other aspects. So it's becoming...

Quite interesting and the way we tackle that is a look, you know, it's it's a word which is so much led by AI Let's map the world's stock universe By thinking AI and AI way. So When we look at this, it's okay. Who are the winners? What are losers of AI? The winners you can still find some of them in the pick and shovels So AI infrastructure, but you need to be very selective because as we discussed earlier Some of them are just investing too much and they will not get, let's say, a good reward investment. So the winners can still be in the infrastructure, they need to be selective. Number two in the winners is companies across sectors, across countries, which are benefiting from AI productivity gains, as we discussed before. And number three is what is called the HALO effects.

for heavy assets, low obsolescence, any sectors which cannot be disrupted by AI. So think about the old economy, think about businesses with economic modes, which is strong enough to let's say not be disrupted by AI. And interestingly, you know, it is a low effect theme. You have many stocks which are actually trading at the interesting PE because they didn't benefit from the initial let's say, rush into the AI theme. So these are the three kind of winners. And then in the losers, you have, as mentioned before, the infrastructure cap expenders who are not going to see the benefits of all of the spending. So you need to avoid them. And the other category of losers is businesses which are getting disrupted by AI and which are losing the hedge.

their competitiveness because they are thinking about look at ways taking place in India currently. The Indian market is currently struggling not because the economy is doing bad because it was based on it outsourcing. And some of these it outsourcing stocks are getting hammered or think about software in the US. So I think this is why on a thematic basis it's now more important to think about. Winners and losers coming from the AI super cycle than just let's say the geographic allocation, because the geographical allocation is more something of the past. Okay, interesting. And I mean, outside of the AI winners and losers, what are the other big kind of structural themes that you think are critical to kind of be cognizant of and kind of their position for? Wow.

One which is quite interesting is the commodity supercycle, I think. Oil is volatile and is currently benefiting from a war premium. But besides oil, you have many commodities which are benefiting from a supply demand imbalance. So think about uranium. There is a big push to invest into nuclear. And currently there is just not enough... Iranian supply to meet the demand. So uranium is a long-term thing that we like. We also like copper. Copper is facing the same kind of, let's say, imbalance. Rare earth is part of this. And we also see gold and silver as also benefiting from this dynamic of supply-demand imbalance. So that's an interesting theme. And we also like biotech because biotech is probably going to benefit from the fact that, well, there is the AI effect, as mentioned before, but also the big pharma are currently facing like a patent cliff. Some of their, let's say, blockbuster drugs are seeing the patent expiring, so they need new drugs.

And maybe for most of them, they haven't invested enough into new R&D, so they need immediate fixing. And one of the ways to do that is either to partner with some biotech or buy them. And we are seeing an interesting dynamic on that side. So this is another theme. And defense is also one theme that we like for. bad reasons, I would say, that the world is becoming more uncertain is that so many countries need to catch up in their defense spending. And also one thing that we like is more than small and mid-cast, we'd be in Europe or in the US. This is a segment of the market which has been lagging. And again, we are seeing improvement in terms of margin, in terms of revenue growth dynamics. And we find some very interesting stories over there.

I mean, you talked about defence and greatest spending and that's obviously a feature in Europe now in Germany in particular, that's obviously taking a big change there. I mean, Europe, the view has always been Europe has lagged in terms of the technology side. It hasn't developed the big unicorns, the unicorns, the hyperscaders like in the US. Obviously we're seeing a shift obviously on the defence and the investment spending in Europe. What's your sense on you know, from a macro perspective and from a thematic perspective, how are you viewing the outlook in Europe? Interesting point you mentioned is about, let's say, Europe lagging innovation. And it's true that if we just look at the stock markets, you know, if you think about, let's

say, the internet bubble, Europe was full of leaders, Nokia, Ericsson, Alcatel, Franz Telekom, Deutsche Telekom.

British Telecom. It was full of, let's say, national champions, European champions. And this is not the case anymore, where we have ASML, we have STM micro, but for the rest is very disappointing. And here, if you dig a little bit into this, is that Europe has been very bad in terms of monetizing innovation. Because actually, many of the, let's say, the brightest ideas came from Europe. Many of the top researchers came from Europe, but then they were stolen by the US. Because the US is very good at monetizing any idea coming from the rest of the world. So we know that in these more uncertain words, the east-west divide we mentioned before, that Europe needs to find their place. And maybe there is one big thing which is called sovereignty. Well, you need to be sovereign in terms of defense.

We probably also need to be sovereign in terms of robotics, in terms of AI. We are so dependent on the US when you think about it, in Europe. The whole day, we spend it on the Apple device. We need Amazon or Microsoft server. We need Alphabet, Google and everything. The dependency, and then on social media, we're on LinkedIn, we're on Facebook, Instagram. The dependency we have with the US is terrible. If they pull the plug, we are done. So I think there needs to be some kind of wake-up call in Europe that Europe does have a huge talent. There are a lot of ideas, bright people, great education systems. And we need to recover from that side, because otherwise we're going to hand up being just an open-air museum good for tourism but not good for business. I think Mario Draghi wrote about that at two occasions and his reports were I think high openings were very genuine and they should be taken with with a lot of importance by the European leaders that they need to be a wake-up call for kids you know for the next generation something needs to happen.

because we are in a dangerous situation at this stage. Yeah. I mean, you talk about the kind of the return of nominal growth and that, I mean, we've seen it to some extent, I guess, in Europe, but still Europe is lagging on that side too. Is that something, I mean, do you think we will see that changing? I mean, we had the German announcement about the greater defense and infrastructure spending, but the impression is it hasn't really kicked in yet. I

mean, growth is so quite sluggish in Europe. Do you see any sign of a transformation there or is it just still waiting for more dramatic policy to come through? I think that Europe is also facing the issue of too much regulation. We are obsessed with regulation and we are obsessed with taxes. So high regulation plus high taxes is preventing probably a lot of innovation and business opportunities to take place. There is also one thing where Europe needs to make a choice is that at the time where the US is becoming fiscal irresponsible, where China is also increasing debts, Europe for the time being is more on the fiscal responsibility side, which is probably good, let's say, from, let's say, ideological points, but which is probably capping investments. So what I mentioned at the start, that China and the US, they are spending a lot into AI, just AI infrastructure. They are subsidizing, by the way, all of these investments. Remember the Chiefs Act and the Biden, what Chiefs Act was basically, your ASML or STMR Criterion, if you build your manufacturer in the US, it's of US money. And Europe is not doing that. Defense is the same, is that if Europe wants to become, let's say, a defense champion, they need to invest into their own manufacturing capabilities. And for the time being, it's probably coming from Germany, is that we are capped in terms of fiscal spending. Here in Switzerland, we are...

very responsible in terms of fiscal spending, but we try to cope with that by going to higher value-headed industries very precise, let's say industries to to being able to maintain a hedge So that could be let's say one lesson for Europe is trying to really become even better into the higher value-headed. Let's say part of the industry and innovation but I think some spending needs to take place also to kind of boost that said on real growth, as you mentioned before. Very good. Just like in conscious of time, I mean, obviously we've talked about the kind of structural themes and the kind of thematic ideas. I mean, outside of AI, which has obvious risks, you know, with the CapEx cycle, are there any other areas of risk that you were in your mind or kind of teams you're thinking about that that could be challenges for markets looking ahead. How about the connect the dots you know is that we talk a lot about. That is that we have seen this in the UK for instance is that we're very close to the UK was very close to see the pension system. Uh, imploding because of guilt you know suddenly started to to go to the roof and I think we'd be in France would be in the US.

It could be in Japan. It could be a debt crisis at some point where the market suddenly asked for, let's say, much higher bond yields to before investing into sovereign debt. And that will probably burst the bubble. If when you have bond yields going up, it means that at some point some money is shifting from the equity market to the debt markets. So I think that's one of the key risk is definitely, let's say, sovereign debts. Good stuff. Before we wrap up, we always like to just ask guests their perspective. You've been in the markets for a long time and had a long career. So for people looking to get invested or get interested in investing and develop a career, any advice or things you've read or things you've done or just in general, how would you answer that for people?

So you mean in terms from a career perspective, from an investor. From a career perspective, yeah, developing a career as an investor. I think that investing is something you never stop to learn. It's really an area where you need to build your investment knowledge. And I think the most important thing is to do something you love. So don't go into finance just for the sake of making money. Go into finance because you like it. And if you love fixed income, stay in fixed income. If what you like is equity, go into equities. If you prefer to talk about investment rather than dig into research, go into sales. You need to go into a place where first you think you are good at, but also, that you love because if you do something you love, usually you do well. I think that's the simplest advice I would give. Makes sense. Simple and then makes sense. Well, great. Well, listen, I appreciate you coming on Top Critters Unplugged and I know you post on LinkedIn quite a bit so people can follow you there, I guess, probably the best place to keep track of what you're saying.

funny pictures about the World Cup as well. So it's not all about economics and markets. But Charles, thanks a lot for coming on. Thank you. Yeah, I really appreciate it. And from all of us here, Top Traders Unplugged, we'll be back soon with more content. I will speak to you soon. Thanks for listening to Top Traders Unplugged. If you feel you learned something of value from today's episode, the best way to stay updated is to go on over to your favorite podcast platform and follow the show so that you'll be sure to get all the new episodes as they're released. We have some amazing guests lined up for you, and to ensure our show continues to grow, please leave us

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